

HeatDrop

Monthly curated boxes of small-batch artisanal hot
sauces delivered to your door.

Hot sauce enthusiasts cannot access small-batch makers outside local markets

- ✓ Over 3,000 independent hot sauce makers in the US lack distribution beyond regional craft fairs and farmers markets
- ✓ Hot sauce fans buy an average of 14 bottles per year but find supermarket shelves dominated by 4 corporate brands
- ✓ Small producers lose up to 45% of potential online sales because direct shipping on single \$10 bottles exceeds product cost

HeatDrop delivers 3 curated small-batch hot sauces monthly for \$29

- ✓ Subscribers receive three full-sized, hard-to-find artisanal sauces tailored to their heat preference every month
- ✓ Bundled monthly shipping cuts per-bottle delivery costs for craft makers by 65%
- ✓ Included tasting notes and maker story cards drive direct consumer engagement for independent hot sauce brands

US craft hot sauce market reaches \$320M, growing 8% annually

- ✓ Total US hot sauce market surpassed \$1.3B in 2023 and is projected to reach \$1.9B by 2028
- ✓ Craft and artisanal niche represents \$320M and expands at 8.2% annually, double the rate of legacy brands
- ✓ Specialty food subscription box members spend an average of \$420 per year on recurring gourmet food items

Monthly subscriptions generate \$29 per box at a 52% gross margin

- ✓ Base tier costs \$29/month for 3 bottles, with a premium \$49/month tier for 5 bottles and rare limited-edition drops
- ✓ Sauces sourced at wholesale prices averaging \$3.20 per bottle, yielding \$15.08 gross profit per box after packaging
- ✓ Current customer acquisition cost is \$18 with an average customer lifetime value of \$203 over 7 months

Heatonist sells single bottles—HeatDrop secures exclusive monthly craft subscriptions

- ✓ Heatonist focuses on high-priced single bottle e-commerce, adding \$12+ in shipping fees on small orders
- ✓ Fuego Box offers recurring subscriptions but relies heavily on widely available mid-tier commercial brands
- ✓ HeatDrop partners with micro-batch producers for 60-day exclusivity, giving subscribers sauces unavailable anywhere else online

Raising \$600K to scale to 10,000 subscribers in 18 months

- ✓ \$600K seed round at a \$4.5M pre-money valuation
- ✓ 50% allocated to social media performance marketing and creator partnerships on YouTube and TikTok
- ✓ 35% allocated to upfront inventory purchasing and custom padded packaging production
- ✓ 15% allocated to warehouse packing automation to lower per-box fulfillment costs by \$1.15